CITY OF MADISON, NEBRASKA
STATEMENT OF NET POSITION
September 30, 2023

	Primary Government			Component Units (Modified Cash Basis)
	Governmental Activities (Modified Cash Basis)	Business-type Activities (Accrual Basis	Total	
ASSETS				
Current assets:				
Cash and cash equivalents	$ 940,665	$ 4,844,766	$ 5,785,431	$ 67,621
County treasurer cash	38,922	-	38,922	4,273
Receivables:				
Accounts	-	221,991	221,991	-
Unbilled revenue	-	681,324	681,324	-
Current portion of notes	-	111,594	111,594	-
Inventory	-	175,715	175,715	-
Total current assets	979,587	6,035,390	7,014,977	71,894
Noncurrent assets:				
Restricted cash and cash equivalents	139,343	69,741	209,084	-
Noncurrent notes receivable	-	229,937	229,937	-
Capital assets:				
Land	-	29,740	29,740	-
Construction in progress	-	434,390	434,390	-
Other capital assets, net of depreciation	-	4,168,512	4,168,512	-
Net capital assets	-	4,632,642	4,632,642	-
Total noncurrent assets	139,343	4,932,320	5,071,663	-
Total assets	1,118,930	10,967,710	12,086,640	71,894
LIABILITIES				
Current liabilities:				
Accounts payable	-	537,432	537,432	-
Accrued expenses	-	38,260	38,260	-
Customer deposits	-	69,741	69,741	-
Current portion of long-term obligations	-	144,159	144,159	-
Total current liabilities	-	789,592	789,592	-
Noncurrent liabilities:				
Noncurrent portion of long-term obligations	-	229,937	229,937	-
Total liabilities	-	1,019,529	1,019,529	-
NET POSITION				
Net investment in capital assets	-	4,258,546	4,258,546	-
Restricted for:				
Sewer improvements	65,491	-	65,491	-
Public safety	73,852	-	73,852	-
Unrestricted	979,587	5,689,635	6,669,222	71,894
Total net position	$ 1,118,930	$ 9,948,181	$ 11,067,111	$ 71,894

See notes to financial statements.

CITY OF MADISON, NEBRASKA

STATEMENT OF ACTIVITIES

For the year ended September 30, 2023

Functions/Programs	Expenses	Program Revenues: Charges for Services	Program Revenues: Operating Grants and Contributions
Primary government:			
Governmental activities (modified cash basis):			
General government	$ 205,953	$ 10	$ -
Public safety	557,823	56,888	-
Public works	249,307	-	-
Environment and leisure	273,903	33,835	30,757
Economic development	2,511	-	-
Debt service	219,340	-	-
Capital outlay	3,398,792	-	-
Total governmental activities	4,907,629	90,733	30,757
Business-type activities (accrual basis):			
Electric	5,847,178	6,144,164	-
Water	340,145	297,970	-
Sewer	413,837	287,577	-
Total business-type activities	6,601,160	6,729,711	-
Total primary government	$ 11,508,789	$ 6,820,444	$ 30,757
Component units (modified cash basis):			
Library Foundation	$ 2,593	$ -	$ 3,000
Community Redevelopment Authority	26,454	-	-
Total component units	$ 29,047	$ -	$ 3,000

See notes to financial statements.

Capital Grants and Contributions	Net (Expenses) Revenues and Changes in Net Position			
	Primary Government			Component Units
	Governmental Activities (Modified Cash Basis)	Business-type Activities (Accrual Basis)	Total	(Modified Cash Basis)
$ 1,193,663	$ 987,720		$ 987,720	
-	(500,935)		(500,935)	
-	(249,307)		(249,307)	
-	(209,311)		(209,311)	
-	(2,511)		(2,511)	
-	(219,340)		(219,340)	
-	(3,398,792)		(3,398,792)	
1,193,663	(3,592,476)	$ -	(3,592,476)	
-	-	296,986	296,986	
-	-	(42,175)	(42,175)	
-	-	(126,260)	(126,260)	
-	-	128,551	128,551	
$ 1,193,663	(3,592,476)	128,551	(3,463,925)	
$ -				$ 407
-				(26,454)
$ -				(26,047)
General revenues:				
Taxes:				
Property	347,302	-	347,302	-
Motor vehicle	43,766	-	43,766	-
Sales tax	341,664	108,786	450,450	-
TIF	-	-	-	9,077
State allocation	690,630	-	690,630	-
Franchise fees	182,912	-	182,912	-
Lease and rent	229,944	-	229,944	-
Miscellaneous	102,378	-	102,378	1,060
Interest income	164,609	8,474	173,083	1,813
Loan collections	11,048	-	11,048	-
Interfund transfers	1,910,785	(1,910,785)	-	-
Total general revenues	4,025,038	(1,793,525)	2,231,513	11,950
Change in net position	432,562	(1,664,974)	(1,232,412)	(14,097)
Net position - September 30, 2022	686,368	11,613,155	12,299,523	85,991
Net position - September 30, 2023	$ 1,118,930	$ 9,948,181	$ 11,067,111	$ 71,894

CITY OF MADISON, NEBRASKA

BALANCE SHEET - GOVERNMENTAL FUNDS

September 30, 2023

	General	Street	Nursing Home	Sales Tax	Total Governmental Funds
ASSETS					
Cash and cash equivalents	$ 918,509	$ -	$ 22,156	$ 139,343	$ 1,080,008
County treasurer cash	38,922	-	-	-	38,922
Total assets	$ 957,431	$ -	$ 22,156	$ 139,343	$ 1,118,930
LIABILITIES AND FUND BALANCES					
Liabilities:	$ -	$ -	$ -	$ -	$ -
Fund balances:					
Restricted for:					
Sewer improvements	-	-	-	65,491	65,491
Public safety	-	-	-	73,852	73,852
Assigned for:					
Nursing home	-	-	22,156	-	22,156
Budgetary stabilization	234,731	-	-	-	234,731
Unassigned	722,700	-	-	-	722,700
Total fund balances	957,431	-	22,156	139,343	1,118,930
Total liabilities and fund balances	$ 957,431	$ -	$ 22,156	$ 139,343	$ 1,118,930

See notes to financial statements.

CITY OF MADISON, NEBRASKA

STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - GOVERNMENTAL FUNDS

For the year ended September 30, 2023

	General	Street	Nursing Home	Sales Tax	Total Governmental Funds
REVENUES					
Taxes:					
Property	$ 305,033	$ 42,269	$ -	$ -	$ 347,302
Motor vehicle	-	43,766	-	-	43,766
Sales	122,674	79,647	-	139,343	341,664
Intergovernmental	283,853	406,777	-	-	690,630
Licenses and permits	23,260	-	-	-	23,260
Franchise fees	182,912	-	-	-	182,912
Lease and rent	344	-	229,600	-	229,944
Charges for services	90,723	-	10	-	90,733
Grants and contributions	1,210,564	-	13,856	-	1,224,420
Interest income	163,693	-	916	-	164,609
Loan collections	11,048	-	-	-	11,048
Other income	79,118	-	-	-	79,118
Total revenues	2,473,222	572,459	244,382	139,343	3,429,406
EXPENDITURES					
General government	205,522	-	431	-	205,953
Public safety	557,823	-	-	-	557,823
Public works	31,961	217,346	-	-	249,307
Environment and leisure	273,903	-	-	-	273,903
Economic development	2,511	-	-	-	2,511
Capital outlay	1,491,708	1,747,516	159,568	-	3,398,792
Principal payments on debt	4,191	8,382	174,821	-	187,394
Interest payments on debt	767	1,535	29,644	-	31,946
Total expenditures	2,568,386	1,974,779	364,464	-	4,907,629
Excess (deficiency) of revenues over expenditures	(95,164)	(1,402,320)	(120,082)	139,343	(1,478,223)
OTHER FINANCING SOURCES					
Transfers in	442,736	1,402,320	65,729	-	1,910,785
Net change in fund balances	347,572	-	(54,353)	139,343	432,562
Fund balances - September 30, 2022	609,859	-	76,509	-	686,368
Fund balances - September 30, 2023	$ 957,431	$ -	$ 22,156	$ 139,343	$ 1,118,930

See notes to financial statements.

CITY OF MADISON, NEBRASKA

STATEMENT OF FUND NET POSITION - PROPRIETARY FUNDS

September 30, 2023

	Enterprise Funds			
	Electric Fund	Water Fund	Sewer Fund	Total
ASSETS				
Current assets:				
Cash and cash equivalents	$ 4,755,628	$ 147,526	$ (58,388)	$ 4,844,766
Accounts receivable	174,380	18,015	29,596	221,991
Unbilled revenue	597,404	56,798	27,122	681,324
Current portion of notes receivable	111,594	-	-	111,594
Inventory	149,334	11,942	14,439	175,715
Total current assets	5,788,340	234,281	12,769	6,035,390
Noncurrent assets:				
Restricted cash and cash equivalents	69,741	-	-	69,741
Noncurrent portion of notes receivable	229,937	-	-	229,937
Capital assets:				
Land	9,580	15,365	4,795	29,740
Construction in progress	375,649	58,741	-	434,390
Distribution systems	3,374,737	2,655,170	3,386,850	9,416,757
Buildings and improvements	716,605	302,436	30,960	1,050,001
Equipment	1,388,815	139,363	181,746	1,709,924
Less accumulated depreciation	(3,946,475)	(2,190,881)	(1,870,814)	(8,008,170)
Net capital assets	1,918,911	980,194	1,733,537	4,632,642
Total noncurrent assets	2,218,589	980,194	1,733,537	4,932,320
Total assets	8,006,929	1,214,475	1,746,306	10,967,710
LIABILITIES				
Current liabilities:				
Accounts payable	520,033	13,314	4,085	537,432
Accrued wages and vacation	16,780	5,195	5,195	27,170
Sales tax payable	9,870	111	1,109	11,090
Customer deposits	69,741	-	-	69,741
Current portion of long-term obligations	10,855	10,855	122,449	144,159
Total current liabilities	627,279	29,475	132,838	789,592
Noncurrent liabilities:				
Noncurrent portion of long-term obligations	-	-	229,937	229,937
Total liabilities	627,279	29,475	362,775	1,019,529
NET POSITION				
Net investment in capital assets	1,908,056	969,339	1,381,151	4,258,546
Unrestricted	5,471,594	215,661	2,380	5,689,635
Total net position	$ 7,379,650	$ 1,185,000	$ 1,383,531	$ 9,948,181

See notes to financial statements.

CITY OF MADISON, NEBRASKA

STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION - PROPRIETARY FUNDS

For the year ended September 30, 2023

	Enterprise Funds			
	Electric Fund	Water Fund	Sewer Fund	Total
Operating revenues:				
Sales	$ 6,114,427	$ 293,257	$ 284,088	$ 6,691,772
Other revenue	29,737	4,713	3,489	37,939
Total operating revenues	6,144,164	297,970	287,577	6,729,711
Operating expenses:				
Cost of power	4,980,133	-	-	4,980,133
Personnel costs	386,555	153,199	153,883	693,637
Contract services	4,060	2,296	2,159	8,515
Utilities	17,410	13,991	16,695	48,096
Fuel and transportation	16,607	5,649	5,072	27,328
Dues, memberships, and training	4,437	1,767	1,762	7,966
Professional fees	41,201	10,672	6,390	58,263
Insurance	44,721	13,771	13,657	72,149
Repairs and maintenance	114,494	48,969	58,839	222,302
Supplies	91,144	9,061	9,515	109,720
Other expenses	7,402	3,912	3,735	15,049
Depreciation	138,247	76,091	132,888	347,226
Total operating expenses	5,846,411	339,378	404,595	6,590,384
Operating income (loss)	297,753	(41,408)	(117,018)	139,327
Nonoperating revenues (expenses):				
Interest income	8,474	-	-	8,474
City sales tax	-	-	108,786	108,786
Interest expense	(767)	(767)	(9,242)	(10,776)
Total nonoperating revenues (expenses)	7,707	(767)	99,544	106,484
Excess (deficiency) of revenues over expenses before transfers	305,460	(42,175)	(17,474)	245,811
Interfund transfers:				
Transfers to other funds	(1,910,785)	-	-	(1,910,785)
Change in net position	(1,605,325)	(42,175)	(17,474)	(1,664,974)
Net position - September 30, 2022	8,984,975	1,227,175	1,401,005	11,613,155
Net position - September 30, 2023	$ 7,379,650	$ 1,185,000	$ 1,383,531	$ 9,948,181

See notes to financial statements.

CITY OF MADISON, NEBRASKA

STATEMENT OF CASH FLOWS - PROPRIETARY FUNDS

For the year ended September 30, 2023

		Electric Fund
CASH FLOWS FROM OPERATING ACTIVITIES:		
Receipts from customers	$	6,101,979
Payments to suppliers		(5,378,989)
Payments to employees		(393,520)
Net cash provided (used) by operating activities		329,470
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES:		
Transfers to other funds		(1,910,785)
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES:		
Purchase of property and equipment		(486,680)
City sales tax		-
Principal payments on long-term debt		(4,191)
Interest paid on long-term debt		(767)
Net cash used by capital and related financing activities		(491,638)
CASH FLOWS FROM INVESTING ACTIVITIES:		
Decrease in restricted cash and cash equivalents		1,813
Payments received on notes receivable		109,395
Interest received		8,474
Net cash provided by investing activities		119,682
Decrease in cash and cash equivalents		(1,953,271)
Cash and cash equivalents - beginning of the year		6,708,899
Cash and cash equivalents - end of the year	$	4,755,628
Reconciliation of operating income (loss) to net cash provided (used) by operating activities:		
Operating income (loss)	$	297,753
Adjustments to reconcile operating income (loss) to net cash provided (used) by operating activities:		
Depreciation expense		138,247
Change in assets and liabilities:		
Accounts receivable and unbilled revenue		(42,185)
Inventories		(32,761)
Accounts payable		(20,817)
Accrued expenses		(6,965)
Sales tax payable		(1,989)
Customer deposits		(1,813)
Net cash provided (used) by operating activities	$	329,470

See notes to financial statements.

Enterprise Funds		
Water Fund	Sewer Fund	Total
$ 281,532	$ 275,261	$ 6,658,772
(103,408)	(120,984)	(5,603,381)
(156,139)	(156,823)	(706,482)
21,985	(2,546)	348,909
-	-	(1,910,785)
(105,841)	(15,000)	(607,521)
-	108,786	108,786
(4,191)	(113,586)	(121,968)
(767)	(9,242)	(10,776)
(110,799)	(29,042)	(631,479)
-	-	1,813
-	-	109,395
-	-	8,474
-	-	119,682
(88,814)	(31,588)	(2,073,673)
236,340	(26,800)	6,918,439
$ 147,526	$ (58,388)	$ 4,844,766
$ (41,408)	$ (117,018)	$ 139,327
76,091	132,888	347,226
(16,438)	(12,316)	(70,939)
(1,185)	551	(33,395)
8,731	(3,704)	(15,790)
(2,940)	(2,940)	(12,845)
(866)	(7)	(2,862)
-	-	(1,813)
$ 21,985	$ (2,546)	$ 348,909

CITY OF MADISON, NEBRASKA

BUDGETARY COMPARISON SCHEDULE - ALL FUNDS

Year ended September 30, 2023

	Budget (Original and Final)	Actual	Variances - Actual Over (Under) Final Budget
RESOURCES (INFLOWS)			
Taxes:			
Property	$ 333,173	$ 347,302	$ 14,129
Motor vehicle	47,000	43,766	(3,234)
Sales	372,500	450,450	77,950
State intergovernmental	652,923	690,630	37,707
Other local receipts	9,932,450	8,782,685	(1,149,765)
Total resources	11,338,046	10,314,833	(1,023,213)
CHARGES TO APPROPRIATIONS (OUTFLOWS)			
Governmental:			
General government	1,640,650	1,600,413	(40,237)
Public safety	890,040	598,136	(291,904)
Public works	1,332,205	2,011,698	679,493
Environment and leisure	926,615	332,918	(593,697)
Nursing home	204,465	364,464	159,999
Total governmental	4,993,975	4,907,629	(86,346)
Business-type:			
Electric	7,979,400	6,264,147	(1,715,253)
Water	598,110	370,346	(227,764)
Sewer	820,220	415,635	(404,585)
Total business-type	9,397,730	7,050,128	(2,347,602)
Total charges to appropriations	14,391,705	11,957,757	(2,433,948)
Resources under charges to appropriations	(3,053,659)	(1,642,924)	1,410,735
OTHER FINANCING SOURCES (USES)			
Transfers in	-	1,910,785	1,910,785
Transfers out	-	(1,910,785)	(1,910,785)
Net transfers	-	-	-
RESOURCES AND OTHER FINANCING SOURCES (USES) UNDER CHARGES TO APPROPRIATIONS	$ (3,053,659)	$ (1,642,924)	$ 1,410,735

CITY OF MADISON, NEBRASKA

COMBINING STATEMENT OF REVENUES AND EXPENDITURES - GENERAL FUND DEPARTMENTS

Year ended September 30, 2023

	Administrative	Police	Fire
REVENUES			
Taxes:			
Property	$ 15,643	$ 125,142	$ 35,196
Sales	-	97,213	11,573
Intergovernmental receipts	13,399	107,195	41,432
Licenses and permits	7,585	15,675	-
Franchise fees	182,912	-	-
Lease and rent	344	-	-
Charges for services	-	-	-
Grants and contributions	1,179,807	-	-
Interest income	163,693	-	-
Loan collections	11,048	-	-
Other receipts	27,449	-	35,175
Total revenues	1,601,880	345,225	123,376
EXPENDITURES			
Personnel services:			
Salaries and benefits	86,286	380,080	800
Operating expenses:			
Insurance	8,860	15,074	15,993
Professional fees	25,812	4,471	453
Meetings, seminars, and dues	8,499	935	3,253
Repairs and maintenance	50,746	18,619	35,203
Printing, postage, and publications	2,673	418	-
Fuel and transportation	142	11,944	1,126
Utilities and telephone	15,720	5,095	7,548
Total operating expenses	112,452	56,556	63,576
Supplies	5,322	5,182	6,294
Economic development	2,511	-	-
Other expenses	1,462	-	-
Capital outlay	1,392,380	33,852	6,461
Principal payments on debt	-	-	-
Interest on long-term debt	-	-	-
Total expenditures	1,600,413	475,670	77,131
Excess (deficiency) of revenues over expenditures before transfers	1,467	(130,445)	46,245
OTHER FINANCING SOURCES			
Transfers in	442,736	-	-
EXCESS (DEFICIENCY) OF REVENUES OVER EXPENDITURES	$ 444,203	$ (130,445)	$ 46,245

Rescue	Flood Control	Park	Pool	Library	Total
$ -	$ 11,732	$ 35,196	$ 27,375	$ 54,749	$ 305,033
13,888	-	-	-	-	122,674
11,283	10,049	30,148	23,449	46,898	283,853
-	-	-	-	-	23,260
-	-	-	-	-	182,912
-	-	-	-	-	344
56,888	-	14,216	19,619	-	90,723
-	-	22,204	-	8,553	1,210,564
-	-	-	-	-	163,693
-	-	-	-	-	11,048
-	-	5,521	-	10,973	79,118
82,059	21,781	107,285	70,443	121,173	2,473,222
-	6,860	42,609	37,931	78,478	633,044
6,946	-	2,119	3,003	1,484	53,479
453	181	453	453	453	32,729
9,605	-	-	-	-	22,292
14,175	23,979	21,452	9,923	24,680	198,777
-	-	395	-	505	3,991
2,983	832	1,883	-	-	18,910
4,252	-	3,554	7,971	6,085	50,225
38,414	24,992	29,856	21,350	33,207	380,403
6,799	109	4,445	16,538	7,008	51,697
-	-	-	-	-	2,511
122	-	1,357	1,124	-	4,065
-	-	12,535	46,480	-	1,491,708
-	4,191	-	-	-	4,191
-	767	-	-	-	767
45,335	36,919	90,802	123,423	118,693	2,568,386
36,724	(15,138)	16,483	(52,980)	2,480	(95,164)
-	-	-	-	-	442,736
$ 36,724	$ (15,138)	$ 16,483	$ (52,980)	$ 2,480	$ 347,572

4. During our disbursement testing, we noted one check did not have sufficient supporting documentation totaling $390. There was no invoice or receipt provided by a vendor verifying the cost. We recommend obtaining a receipt or invoice from all vendors before the check is printed.

5. During our audit, we noted that inventory quantities were being adjusted but the cost of inventory was not. We recommend updating inventory cost as inventory is purchased in order to accurately track inventory values.

Other Matters

We applied certain limited procedures to the Management's Discussion and Analysis and the budgetary comparison schedule, which are required supplementary information (RSI) that supplements the basic financial statements. Our procedures consisted of inquiries of management regarding the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We did not audit the RSI and do not express an opinion or provide any assurance on the RSI.

We were engaged to report on the statement of general fund departmental revenue and expenditures and the component unit combining statements, which accompany the financial statements but are not RSI. With respect to the supplementary information, we made certain inquiries of management and evaluated the form, content, and methods of preparing the information to determine that the information complies with accounting principles generally accepted in the United States of America, the method of preparing it has not changed from the prior period, and the information is appropriate and complete in relation to our audit of the financial statements. We compared and reconciled the supplementary information to the underlying accounting records used to prepare the financial statements or to the financial statements themselves.

Restriction on Use

This information is intended solely for the use of the City Council and management of the City of Madison and is not intended to be and should not be used by anyone other than these specified parties.

AMGL, P.C.

Grand Island, Nebraska
February 12, 2024